

Rogers-Satchell cannot see the overnight gap, so a close-to-close benchmark conflates two effects

RS is built from open, high, low and close within the session, so comparing it to close-to-close variance mixes estimator error with variation occurring outside the session. Panel B is a ratio, not a share: $\text{Var(cc)} = \text{Var(co)} + \text{Var(oc)} + 2\text{Cov}$.

